

Table 1

Statement on principal adverse impacts of investment decisions on sustainability factors

Financial Market Participant Footnote1 Footnote2						
Summary						
Description of the principal adverse impacts on sustainability factors						
Adverse sustainability indicator		Metric	Impact [year n]	Impact [year n-1]	Explanation	
					Actions taken, and actions planned and targets set for the next reference period	
Indicators applicable to investments in investee companies						
CLIMATE AND OTHER ENVIRONMENT-RELATED INDICATORS						
Greenhouse gas emissions	1. GHG emissions	Scope 1 GHG emissions	1960999.31 91.42%	3,398,260 tons	Scope 1 emissions decreased slightly year-on- year	Integration: AB integrates material climate- related risks and opportunities into the security selection and portfolio construction processes for most actively managed strategies. The types of climate factors AB's



		Scope 2 GHG emissions	347235.31 91.42%	565,290 tons	Scope 2 emissions decreased year-on-year	analysts may evaluate, for the issuers in which we invest, include climate strategy and management, the political and regulatory backdrop, potential environmental liabilities, GHG emissions, low carbon technologies and climate opportunities. Our climate approach is grounded in the development of deep research insights; elevated by engagement and stewardship with issuers; facilitated by climate-related data and tools; and draws on expertise from academic and industry partners, such as our relationship with the Columbia Climate School. AB and Columbia University continue to collaborate in an ongoing effort to bridge the gap between finance and climate science and, in 2023, worked to better evaluate the physical risks posed by climate change, particularly in the US. Many sectors and assets are exposed to risks from natural disasters, particularly those intensified or catalysed by climate change. Through this partnership, AB and Columbia updated the NCDP's US Natural Hazards Index, adding new data on hazards from extreme weather and natural disasters and on social vulnerability to enhance understanding. To further strengthen how our investment teams manage climate risks and identify climate-related opportunities, AB has developed several proprietary research tools. In 2023 AB developed a Climate Transition Dashboard that allows our investment teams to easily view, compare and explore current climate change-related data on over 20,000 issuers across our actively managed equities and fixed income strategies. This tool pulls together data on emissions and emissions trajectories, implied temperature rises, green revenues, green bond issuance and other climate metrics for corporate issuers. Given the disparity and inconsistency of climate-related disclosures globally, the dashboard is a valuable tool that provides AB's investment teams with a central place to access consistent climate data. Engagement: In 2023 AB launched a proprietary Climate Transition Alignment
		Scope 3 GHG emissions	11519182.22 91.40%	21,070,426 tons	Scope 3 emissions slightly year-on-year	
		Total GHG emissions	13778732.94 91.37%	25,033,976 tons	Total GHG emissions decreased year-on-year due to an increase in Scope 3 GHG emissions	
	2. Carbon footprint	Carbon footprint	580.13 93.74%	520 tons per €1M invested	Carbon footprint increased year on year	
	3. GHG intensity of investee companies	GHG intensity of investee companies	924.39 94.74%	938 tons (Scope 1/2/3)	Weighted average carbon intensity (WACI) for corporate holdings decreased year-on-year	
	4. Exposure to companies active in the fossil fuel sector	Share of investments in companies active in the fossil fuel sector	9.47% 94.79%	7.00%	Exposure to companies active in the fossil fuel sector has seen an increased year-on-year	



5. Share of non-renewable energy consumption and production	Share of non-renewable energy consumption and non-renewable energy production of investee companies from non-renewable energy sources compared to renewable energy sources, expressed as a percentage of total energy sources	70.27% 73.96%	Non-renewable energy consumption: 65.79% Non-renewable energy production: 59.50%	Both non-renewable energy consumption & non-renewable energy production increased year-on-year due to security selection changes within the normal course of portfolio management	Framework. This framework was designed to identify issuers driving heavily contributing to financed emissions in actively managed equities and corporate credit strategies and across more than 20 high-impact industries. High-impact industries are those that have particularly material risks and opportunities stemming from the transition to a lower-carbon economy. The framework is designed to identify specific areas of material risk and opportunities for these high-impact issuers and to signal to our investment teams where they should focus their research and engagement as we track issuers' progress along the framework, when materially relevant for our clients.
6. Energy consumption intensity per high impact climate sector	Energy consumption in GWh per million EUR of revenue of investee companies, per high impact climate sector	A - AGRICULTURE, FORESTRY AND FISHING: 0.92 29.14% B - MINING AND QUARRYING: 0.98 29.14% C - MANUFACTURING: 0.41 29.14% D - ELECTRICITY, GAS, STEAM AND AIR CONDITIONING SUPPLY: 8.00 29.14% E - WATER SUPPLY; SEWERAGE, WASTE MANAGEMENT AND REMEDIATION ACTIVITIES: 0.80	NACE section code A: 1.97 NACE section code B: 4.16 NACE section code C: 0.58 NACE section code D: 11.59 NACE section code E: 0.69 NACE section code F: 0.16 NACE section code G: 0.16 NACE section code H: 1.75 NACE section code L: 0.85	The energy consumption intensity of investee companies in most high impact climate sectors, except NACE section codes E -H decreased year-on-year. The energy consumption intensity of investee companies in NACE section codes E - H, increased due to security selection changes within the normal course of portfolio management.	In the 2023 calendar year, AB's investment analysts conducted 585 engagements on the issue of carbon emissions and around 300 on climate transition plans. Proxy Voting: In 2023, the volume of environmental shareholder proposals continued to rise, with a focus on enhanced reporting on GHG emissions. AB supports environmentally focused proposals that enhance shareholder value for our clients and promote genuine improvements in the management of the associated risks and opportunities for a business. Scoring & Exclusions: Certain AB Products consider the carbon-related PAIs via sector-based pre-trade exclusions, or restrictions in relation to carbon metrics, that may limit exposure to high-emitting issuers and sectors, appropriate to their investment strategies. The exact specifics of these screens are detailed in each strategy's regional product disclosure documentation. Article 9 Products: In addition to the above, AB's Article 9 Products also use AB's Do No Significant Harm ("DNSH") Policy to consider the carbon related PAIs. AB's DNSH policy uses a threshold-based scoring system to assess issuers on relevant indicators (Carbon: Products & Services & Carbon: Own Operations), which represents AB's interpretation of significant harm. Any issuer



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WHOLESALE
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breaching this threshold is deemed to do significant harm to the environment and is ineligible for inclusion in AB's Article 9 Products.



Biodiversity	7. Activities negatively affecting biodiversity-sensitive areas	Share of investments in investee companies with sites/operations located in or near to biodiversity-sensitive areas where activities of those investee companies negatively affect those areas	7.35% 94.71%	0.10%	Activities negatively affecting biodiversity-sensitive areas has increased year-on-year. Coverage for this data point has been historically very low and we expect increases with greater coverage	Integration: Biodiversity is highly interrelated with climate change and is an emerging area of focus at AB. Nature-related risks and opportunities have become more apparent to our investments and will continue to increase as climate change and other pressures worsen. can help investors identify potential nature-related risks and high-risk sub-industries. It can prioritise industries for research and highlight specific issuers that investors may wish to engage with directly to explore issuer-specific biodiversity issues. Looking forward, the Biodiversity Working Group plans to work with Columbia University to build an investor training program on the basics of biodiversity and the importance of nature-related risks and opportunities in the investment process. The Columbia Climate Finance Fellowship, which is intended to help shape the next generation of investment professionals striving to address the impact of climate change, saw a second fellow join AB's Concentrated Growth team in 2023. The fellow's role was to focus on biodiversity and nature loss to better understand the financial materiality and effects of nature-related risks and opportunities on issuers in the Concentrated Growth portfolios. Engagement: In 2023, AB held 71 engagements that discussed biodiversity issues. The use of the Biodiversity Risk Matrix will contribute to biodiversity-focused engagements going forward. Proxy Voting: In 2023, the volume of environmental shareholder proposals continued to rise. Following COP15, it is likely that the number of shareholder proposals put to a vote that focus on deforestation and biodiversity will increase further. AB supports environmentally focused proposals that enhance shareholder value for our clients and promote genuine improvements in the management of the associated risks and opportunities for a business. Scoring & Exclusions: Article 9 Products: In addition to the above,
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						AB's Article 9 Products apply AB's DNSH policy. This uses a threshold-based scoring system to consider the biodiversity related PAI and assess issuers on relevant indicators (Land Use & Biodiversity), which represents AB's interpretation of significant harm. Any issuer breaching this threshold is deemed to do significant harm to the environment and is ineligible for inclusion in AB's Article 9 Products.
Water	8. Emissions to water	Tonnes of emissions to water generated by investee companies per million EUR invested, expressed as a weighted average	0.24 0.51%	0.87 tons per 1M EUR invested	Emissions to water increased year-on-year due to security selection changes within the normal course of portfolio management. Coverage for this data point is still extremely low and we expect figures may continue to rise as more data becomes available	Integration: For certain sectors AB's materiality matrix has identified the sustainability risks associated with water emissions to be significant. For example, management of water consumption and wastewater treatment could present material ESG and financial risks for a food and beverage business. For these sectors, an issuer's water emissions may be subject to further analysis which may impact the investment team's assessment of the issuer. Engagement: In the 2023 calendar year, AB's investment analysts conducted 103 engagements on the issue of water management. Proxy Voting: In 2023, the volume of environmental shareholder proposals continued to rise. Following COP15, it is likely that the number of shareholder proposals put to a vote that focus on pollution will increase further. AB supports environmentally focused proposals that enhance shareholder value for our clients and promote genuine improvements in the management of the associated risks and opportunities for a business. Scoring & Exclusions: Article 9 Products: In addition to the above, AB's Article 9 Products apply AB's DNSH policy. This uses a threshold-based scoring system to consider water emissions and assess issuers on relevant indicators (Emissions, Effluents & Waste), which represents AB's interpretation of significant harm. Any issuer breaching this threshold is deemed to do



						significant harm to the environment and is ineligible for inclusion in AB's Article 9 Products.
Waste	9. Hazardous waste and radioactive waste ratio	Tonnes of hazardous waste and radioactive waste generated by investee companies per million EUR invested, expressed as a weighted average	13.94 57.14%	10.7 tons per 1M EUR invested	Hazardous waste & radioactive waste ratio increased year-on-year due to security selection changes within the normal course of portfolio management	Integration: For certain sectors AB's materiality matrix has identified the sustainability risks associated with hazardous waste to be significant. For these sectors, an issuer's hazardous waste ratio may be subject to further analysis which may impact the investment team's assessment of the issuer. Engagement: In the 2023 calendar year, AB's investment analysts conducted 66 engagements on the issue of toxic emissions and hazardous waste. Proxy Voting: In 2023, the volume of environmental shareholder proposals continued to rise. Following COP15, it is likely that the number of shareholder proposals put to a vote that focus on pollution will increase further. AB supports environmentally focused proposals that enhance shareholder value for our clients and promote genuine improvements in the management of the associated risks and opportunities for a business. Scoring & Exclusions: Article 9 Products: In addition to the above, AB's Article 9 Products apply AB's DNSH policy. This uses a threshold-based scoring system to consider hazardous waste and assess issuers on relevant indicators (Emissions, Effluents & Waste), which represents AB's interpretation of significant harm. Any issuer breaching this threshold is deemed to do significant harm to the environment and is ineligible for inclusion in AB's Article 9 Products.



INDICATORS FOR SOCIAL AND EMPLOYEE, RESPECT FOR HUMAN RIGHTS, ANTI-CORRUPTION AND ANTI-BRIBERY MATTERS						
Social and employee matters	10. Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises	Share of investments in investee companies that have been involved in violations of the UNGC principles or OECD Guidelines for Multinational Enterprises	0.89% 64.00%	0.0106	Investments in investee companies that have been involved in violations of the UNGC principles or OECD Guidelines for Multinational Enterprises decreased slightly year-on-year due to security selection changes within the normal course of portfolio management	Integration: AB adheres to the UN Global Compact ("UNGC") principles and the Organisation for Economic Cooperation and Development Guidelines for Multinational Enterprises ("OECD"). AB also monitors for UNGC breaches across our actively managed investment strategies. AB believes that the risk of breaching international norms is best understood and addressed through ongoing in-depth fundamental research, which enables us to analyse a wide range of information and properly assess the risk at an issuer-specific level. As part of AB's SFDR framework, AB uses compliance with the UNGC principles to determine whether a specific security can be deemed to promote environmental and/or social characteristics or comply with AB's Good Governance Policy. AB's Good Governance Policy consists of security-specific analysis and scoring based on specific governance criteria, including sound management structures, employee relations, remuneration of staff and tax compliance, using a combination of external and internal data sources. The specific indicators used to assess compliance with these criteria include adherence to UNGC principles 3, 4, 5, 6 and 10. If at any point a security breaches the scoring threshold for any of the Good Governance indicators (including UNGC non-compliance with the specific principles listed above), then the security is deemed to fail the criteria for inclusion in AB's Article 8 and 9 Products. For a security that breaches the criteria to continue to be held, or purchased, AB's analysts must present research that refutes the findings of third-party data that has made the identification, and explain why the security remains a reasonable investment. This research will be subject to review by an independent internal committee. Similarly, to determine if a security can be considered to promote environmental and/or characteristics, the issuer of the specific security must meet specific criteria, including compliance with all principles of the UNGC. Where a major
	11. Lack of processes and compliance mechanisms to monitor compliance with UN Global Compact principles and OECD Guidelines for Multinational Enterprises	Share of investments in investee companies without policies to monitor compliance with the UNGC principles or OECD Guidelines for Multinational Enterprises or grievance /complaints handling mechanisms to address violations of the UNGC principles or OECD Guidelines for Multinational Enterprises	15.19% 94.85%	0.444	Investments in investee companies without policies to monitor compliance with the UNGC principles or OECD Guidelines for Multinational Enterprises decreased year-on-year due to security selection changes within the normal course of portfolio management	



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third-party service provider has deemed an issuer to be in violation of international norms, our investment teams are required to research and document the nature of the breach, including, if applicable, why our internal research demonstrates that the security remains a reasonable investment. As per the Good Governance framework above, issuers that are deemed non-compliant with the UNGC may be considered to promote E/S characteristics if an AB's analysts present research that refutes the findings of third-party data that has made the identification. This research will be subject to review by an independent internal committee. Our Responsibility team, in conjunction with our Risk division, has implemented a systematic process to ensure that this research is completed annually, as long as the position continues to be held. Engagement: AB recently joined PRI's newly launched Advance initiative—a collaborative stewardship initiative on human rights and social issues. Human rights-related issues, such as modern slavery, community health and safety, and mine site-level security management, can expose mining companies to material operational, regulatory, and reputational risks. Since joining the initiative AB has met with the other investors and conducted kick-off meetings with the companies to share more about the initiative and our goals. We look forward to sharing more on the progress of the initiative in the coming years. Proxy Voting: Social topics, like human rights and human capital management, continue to be top of mind for many stakeholders, and the number of proposals brought forth grew compared to last year. AB supports socially focused proposals that enhance shareholder value for our clients and promote genuine improvements in the management of the associated risks and opportunities for a business. Scoring & Exclusions: Certain AB products consider the human rights related PAIs via global norms-based pre-trade exclusions appropriate to their investment strategies. The exact specifics of these screens are detailed in each strategy's regional product disclosure



						documentation. Article 9 Products: In addition to the above, AB's Article 9 Products apply AB's DNSH policy uses a threshold-based scoring system to assess issuers on relevant indicators (Human Capital & UNGC Compliance), which represents AB's interpretation of significant harm. Any issuer breaching this threshold is deemed to do significant harm and is ineligible for inclusion in AB's Article 9 Products.
	12. Unadjusted gender pay gap	Average unadjusted gender pay gap of investee companies	13.74% 41.89%	0.1345	Unadjusted gender pay gap increased marginally year-on-year due to security selection changes within the normal course of portfolio management	Integration: In 2023 AB expanded its social research priorities to include research on Human Capital, Demographics and of Diversity, Equity and Inclusion (DEI). This has enabled AB to enhance its market best-practice guide for our investment teams to help support them in their evaluation of DEI disclosures and their assessment of an issuer's existing practices. AB believes that ensuring company pay and promotion practices are equitable can be a material issue, especially for companies that depend on specialised talent and its reputation to grow its business. We believe that boards should develop, as part of their refreshment process, a framework for identifying diverse candidates for all open board positions. We believe diversity is broader than gender and should also take into consideration factors such as business experience, ethnicity, tenure, and nationality.
	13. Board gender diversity	Average ratio of female to male board members in investee companies, expressed as a percentage of all board members	32.79% 94.42%	0.3206	Board gender diversity increased marginally year-on-year due to security selection changes within the normal course of portfolio management	Engagement: Diversity is an important element in assessing a board's quality, because it promotes the consideration of a wider range of perspectives when companies strategize and work to mitigate risks. Thus, we typically favor boards with a higher representation of diversity, whether that be in terms of ethnicity, business experience, tenure, gender or nationality. Through AB's engagements in 2023, DEI was the most frequently discussed key issue in the Social pillar & Board Gender Diversity was the fourth most discussed key issue in the Governance pillar. Pay was the most frequently discussed issue in the Governance pillar. Proxy Voting: Proposals on pay equity continue to be top of mind for proponents. These requests typically seek reporting on any pay discrepancies



						between ethnic minority groups or women and the average pay of all employees. AB supports socially focused proposals that enhance shareholder value for our clients and promote genuine improvements in the management of the associated risks and opportunities for a business. Scoring & Exclusions: Article 9 Products: In addition to the above, AB's Article 9 Products apply AB's DNSH policy uses a threshold-based scoring system to assess issuers on relevant indicators (Human Capital), which represents AB's interpretation of significant harm. Any issuer breaching this threshold is deemed to do significant harm and is ineligible for inclusion in AB's Article 9 Products.
	14. Exposure to controversial weapons (anti-personnel mines, cluster munitions, chemical weapons and biological weapons)	Share of investments in investee companies involved in the manufacture or selling of controversial weapons		0	No change - want to check this	Integration: Mounting concern about controversial weapons has raised complicated questions for investors in recent years. Civilian populations in conflict zones suffer gravely from anti-personnel landmines, cluster munitions, munitions made with depleted uranium, and chemical, biological, or incendiary weapons, sometimes long after the fighting has subsided. AB's Responsibility Steering Committee, in conjunction with our Controversial Investment Advisory Council, has implemented certain restrictions given the investment issues they raise. Engagement: When appropriate, we will engage with companies in which we invest, should our research suggest that their involvement in controversial weapons represents a potential threat to our long-term forecasts. This includes discussing whether the company should end these activities. Screening & Exclusions: In Europe, countries have increased legislation prohibiting investment in such companies and client engagement on this issue is rising. As a result, AB Lux, an AB affiliate, has decided to exclude both debt and equity securities issued by companies involved in the production of anti-personnel landmines, cluster munitions,



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munitions made with depleted uranium, chemical, biological, or incendiary weapons from the universe of potential investments in a range of funds for which it is a management company. AB Lux has engaged with a third-party service provider to provide the list of companies to be excluded. We will continue to monitor the evolution of regulation around the world regarding investment in companies involved in controversial weapons. Please find the link to our firm's Statement on Controversial Weapons here: [link](#)



Indicators applicable to investments in sovereigns and supranationals						
Adverse sustainability indicator		Metric	Impact [year n]	Impact [year n-1]	Explanation	Actions taken, and actions planned and targets set for the next reference period
Environmental	15. GHG intensity	GHG intensity of investee countries	340.32 99.22%	447.71 tons	Weighted average carbon intensity (WACI) for sovereign holdings decreased year-on-year	Integration: AB monitors a country's most recent Nationally Determined Contributions ("NDCs"), which set out national decarbonization goals and plans. In addition, AB's sovereign environmental assessments, which are part of our sovereign ESG scoring framework, incorporate additional datasets that inform our understanding of a country's investment risks resulting from its environmental exposures and policies. Engagement: AB frequently engages directly with sovereigns, their leaders and ministers of finance, and the international financial community (e.g., the World Bank, International Monetary Fund and other bondholders) when we see a potential deterioration in governance or risks in the management of ESG issues. Additionally, we are a member of several investor alliances that work to coordinate responses and actions by the investment community to ensure that rights and values are protected. Scoring & Exclusions: Article 9 Products: In addition to the above, for AB's Article 9 Products, countries with NDCs that are less ambitious than AB's significant harm threshold are currently considered misaligned with the objective of mitigating greenhouse gas emissions and deemed to do significant harm to the environment and, is ineligible for inclusion in AB's Article 9 Products.
Social	16. Investee countries subject to social violations	Number of investee countries subject to social violations (absolute number and relative number divided by all investee countries), as referred to in international treaties and conventions, United Nations principles and, where applicable, national law	4.25 1.25%	4 investee countries	No change	Integration: AB monitors a set of fundamental social indicators that it considers important in setting minimum safeguards against social violations. These centre on electoral process and pluralism, civil liberties, functioning of government, political participation and political culture. In addition, our sovereign social assessments, which is part of our sovereign ESG scoring framework, incorporate additional datasets that inform our

						understanding of a country's investment risks resulting from its social exposures and policies. Going forward, we have established a strategic partnership with an academic institution, focused on the intersection of investment risk and social research to further develop our investment teams' knowledge of material social risks and develop resources to help them better identify and manage related investment risks and opportunities in our investment decisions. Engagement: AB frequently engages directly with sovereigns, their leaders and ministers of finance, and the international financial community (e.g., the World Bank, International Monetary Fund and other bondholders) when we see a potential deterioration in governance or risks in the management of ESG issues. Additionally, we are a member of several investor alliances that work to coordinate responses and actions by the investment community to ensure that rights and values are protected. Scoring & Exclusions: Article 9 Products: In addition to the above, for AB's Article 9 Products, countries that are assessed to have a Democracy Index level of Authoritarian Regimes are deemed to do significant harm to the society and is ineligible for inclusion in AB's Article 9 Products.
Indicators applicable to investments in real estate assets						
Adverse sustainability indicator		Metric	Impact [year n]	Impact [year n-1]	Explanation	Actions taken, and actions planned and targets set for the next reference period
Fossil fuels	17. Exposure to fossil fuels through real estate assets	Share of investments in real estate assets involved in the extraction, storage, transport or manufacture of fossil fuels	N/A N/A	N/A	N/A	NA
Energy efficiency	18. Exposure to energy-inefficient real estate assets	Share of investments in energy-inefficient real estate assets	N/A N/A	N/A	N/A	NA
Other indicators for principal adverse impacts on sustainability factors						
Indicators applicable to investments in investee companies						



CLIMATE AND OTHER ENVIRONMENT-RELATED INDICATORS								
		Adverse sustainability indicator	Metric	Impact [year n]		Impact [year n-1]	Explanation	Actions taken, and actions planned and targets set for the next reference period
Emissions	4. Investments in companies without carbon emission reduction initiatives	Share of investments in investee companies without carbon emission reduction initiatives aimed at aligning with the Paris Agreement	0.41 94.27%	0.2353		Share of investments in investee companies without carbon emission reduction initiatives aimed at aligning with the Paris Agreement decreased year-on-year due to security selection changes within the normal course of portfolio management	Please see the information contained in this column for PAIs 1-6	
INDICATORS FOR SOCIAL AND EMPLOYEE, RESPECT FOR HUMAN RIGHTS, ANTI-CORRUPTION AND ANTI-BRIBERY MATTERS								
Human Rights	9. Lack of a human rights policy	Share of investments in entities without a human rights policy	0.11 94.69%	0.1198		Share of investments in entities without a human rights policy decreased year-on-year due to security selection changes within the normal course of portfolio management	Please see the information contained in this column for PAIs 10 & 11	
AB has not elected to identify and assess any other additional principal adverse impacts on sustainability factors.								
Description of policies to identify and prioritise principal adverse impacts on sustainability factors								
Significant wording so ecluded								
Engagement policies								
As part of the investment process for its actively managed portfolios, AB engages with issuers on a variety of topics for both gaining insights on the issuer and encouraging action that AB believes will benefit its clients as shareholders. More information on AB’s approach to engagement, including the most recent engagement reports, can be found here. More information on the AB Stewardship Approach can be found here.								
Regarding engagement on ESG issues, AB encourages issuers to undertake actions that can help them better address material ESG risks or take advantage of ESG opportunities, in a way that meets								



our clients' best interests.

AB uses engagement in two ways: insight and action.

- **Insight:** AB engages for additional insight into issuers and that insight is integrated into AB's fundamental research on the investment. For example, through engagement AB gains a deeper understanding of an issuer's renewable energy strategy and therefore more insight on the investment when AB is assessing alignment to environmental and/or social characteristics and any potential material financial impact.
- **Action:** AB engages to encourage issuers to take action that AB believes will enable them to better address material ESG risks or take advantage of ESG opportunities. For example, AB may encourage an issuer to consider a reduction of its environmental footprint, outlining the benefits of improved resilience to future regulation, carbon taxes and an enhanced ability to retain market share and talented employees. This active engagement helps promote environmental and social advancement, creates long-term issuer value, and maintains the investment alignment to environmental and social characteristics.

AB engages with issuers of securities held by respective AB Products but may also engage with issuers into which that AB Products have not yet, or will not, invest.

Engagements, which AB analysts and portfolio managers initiate directly with the issuer, may take place both before the initial investment is made and as part of AB's ongoing monitoring.

Engagements are often with senior executives, including an issuer's CEO and CFO. During engagements, AB discusses strategy, business operations, governance, and a wide variety of other topics, including material ESG issues, with company management. Over time, analysts build a forum for open dialogue. AB also engages with directors, generally either to share its perspective on specific issues, or to escalate specific concerns after AB has engaged with management. In addition, AB engages with other stakeholders such as suppliers and customers as part of the process.

When AB prioritizes issuers to engage with, or themes and topics to discuss, several factors are considered, including the PAIs. AB's analysts assess the ESG issue's materiality, using the proprietary AB materiality map and industry-recognized frameworks. They also consider the company or issuer's size and ESG ratings, AB's historical proxy-voting record at the company, the size of AB's Products exposure, the proportion of issuer assets held, the significance of AB's security holding and the history and success of previous conversations.

AB may also conduct event-driven engagements when a company's or issuer's activity has had a significant negative impact, as well as company-led engagements when a firm reaches out to discuss an issue.

AB sometimes encounters situations where continued engagement is no longer productive or helpful in driving progress. In cases where AB deems the issuer's behaviour to be misaligned with its clients' best interests, it can escalate the engagement to communicate AB's stance on key issues, conveying the gravity of our concern, and encourage the issuer to take action. AB may escalate an engagement in one or more of the following ways: proxy voting; sharing our views with other investors and/or stakeholders; publication of a public letter; writing a private letter to the board and management team; reducing a position or selling/not refinancing a security.

On a periodic basis, the relevant AB' Investment Teams for the AB Products will create "Engagement Reports" that summarize issuer engagements and their outcomes. AB believes it is important to integrate material ESG Factors into ground-level fundamental research and documenting the engagement research and conclusions allows the AB Stewardship Approach to be successfully utilized.

References to international standards

In the consideration of PAIs for AB Products, AB will use the following international standards for reference, where applicable:

- **UN Global Compact, OECD Guidelines for Multinational Enterprises:** AB adheres to the UN Global Compact ("UNGC") principles and the Organisation for Economic Cooperation and Development Guidelines for Multinational Enterprises and AB monitors for UNGC breaches across our actively managed investment strategies.
- **Paris Agreement:** AB's Products may consider an issuer's decarbonisation strategy and assess its alignment with the long-term global warming objectives of the Paris Agreement. AB may assess whether the issuer has an externally validated decarbonisation pathway, has an external assessment of the alignment of its intensity profile with a global warming scenario of 2 degrees or, for financial institutions, is a signatory of the Net Zero Banking Alliance.

Please refer to section 1 for the PAI indicators used to measure alignment with the international standard and to section 2 for the methodology and data used.

Historical Comparison

Many of the changes in PAI indicators between 2023 and 2022 are attributable to security selection changes which occurred as part of standard portfolio management. Please see section 1 for specific details on particular PAIs.

AB has not set specific targets in relation to of the mandatory PAIs, some of which have limited data availability, but possesses a number of internal policies and procedures to facilitate the consideration of specific PAIs within certain portfolios, as detailed in section 2.2 above.